

joined a country club. But somehow they assumed that if their adult children could be exposed to the wisdom gained from college, travel abroad, and associating with higher-status people in general that they would outperform their parents economically.

Berl and Susan were wrong in making such assumptions. The children of affluent parents don't automatically perform as well as their parents in terms of accumulating wealth. This is not to say that the Henrys and Joshes of America will never outpace their parents. Some do. But they are a minority among all the children of the affluent. It's important to note that the children of affluent parents have (in today's dollars) about a one-in-five chance of accumulating wealth in the seven figures during their lifetimes, while the average child in this country whose parents are not millionaires has about a one-in-thirty chance.

Are any of the children of Berl and Susan millionaires today? No! But one is more likely to become a member of the seven-figure (net worth) club soon. Will it be Henry or Josh or one of the other children? Berl and Susan's other children are considerably younger than Henry and Josh. Certainly age is a correlate of wealth accumulation. Young adults are not likely to have accumulated considerable wealth on their own. Also, the other four children have not been receiving economic outpatient care from their parents for the same length of time as their older brothers.

Many observers might predict that Josh would more likely accumulate a seven-figure level of net worth before his brother. It is certainly understandable that they would feel this way. Attorneys typically generate significantly higher incomes than high school teachers. Once again, income is highly correlated with wealth accumulation. Last year Henry's total household income (not including the gift of cash from Berl and Susan) was \$71,000; Josh's was \$123,000. One would assume just from these figures that Josh would be much more likely to accumulate wealth. After all, his income is nearly twice that of his brother's. But observers who make such predictions overlooked the fundamental rule regarding wealth building.

Whatever your income, always live below your means.

Henry, in spite of his smaller salary, lives below his means. Josh, on the other hand, lives substantially above his income. In fact, Josh "really counts on that \$10,000 from Dad and Mom to keep in balance." The